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Baptism by Fire

Battling the Global Financial Crisis

When I assumed office as governor on 5 September 2008, the dominant concern of the Reserve Bank was decidedly the persistently high inflation. In fact, the only thing I could think of saying when I was ushered in front of the media for a sound bite minutes after signing on as the governor, was that reining in inflation and anchoring inflation expectations would be my top priority. Little did I know that my top priority would change in such a dramatic way in less than a fortnight.

The advance tremors of the global financial crisis started going off in the week following my joining the Reserve Bank, sending tectonic shocks across financial markets around the world. Every day there was news of some storied financial institution crumbling under pressure. In the space of just a few days, Fannie Mae and Freddie Mac went into conservatorship; Merrill Lynch had vanished; Washington Mutual was closed down by the regulators; Wachovia was sinking, and AIG was on the brink of a meltdown. Finally, on 16 September, the big bang—Lehman Brothers collapsed, plunging the global financial sector into a near-death experience.

Quite unsuspecting of the oncoming tumult, my staff had scheduled a series of briefing meetings for me over the first two weeks to ‘induct’ the new governor into the world and work of the Reserve Bank. The shock and awe following the collapse of Lehman Brothers denied me the luxury of learning systematically and at my own pace. It was baptism by fire.